

Institutional Research Analyst at HDFC Securities, says Dabur's power brand strategy has helped its business in recent quarters. "Dabur is a much diversified FMCG company compared with most of its peers. It aims to leverage and scale its core brands to the desired levels," he says.

While Dabur is yet to announce its numbers for the October-December 2023 quarter, it recently informed the BSE in a filing that it witnessed "sequential improvement in demand trends" and Dabur's "consolidated revenue is expected to register mid to high single-digit [5-9 per cent] growth" during the quarter. Its international business is expected to register double-digit growth in constant currency terms, led by good momentum in the MENA region. At the same time, gross margins are likely to expand, led by moderating inflation and cost-saving initiatives.

All its plans will come to nought without a good distribution set-up. A strong distribution backbone will fetch Dabur new consumers and more shelf space. Dabur says its brands reach 110,000 of India's 600,000 villages directly. "We aim to increase the number... and take it closer to 200,000, which the largest FMCG companies in India today serve directly," says Malhotra.

To place more products in the outlets, Dabur will first test them on e-commerce platforms and then hit modern trade, followed by *kiranas* or neighbourhood shops. "We have got a playbook on how our vision will be realised for increasing the addressable market—by offering new benefits and targeting new consumers, contemporising our brands and modernising our formats," adds Malhotra.

Dabur has budgeted 15 per cent of its revenue over the next four-five years to expand sales and distribution and 8-9 per cent for advertising and promotion. An analysis by HDFC Institutional Research says the measures have started showing results. Between FY19 and FY23, Dabur's market share in key categories jumped. For instance, digestives saw a gain of 786 basis points (bps) in share, chyanprash saw 462 bps, honey (400 bps), juices (364 bps) and mosquito repellent creams (350 bps), among others.

According to analysts at Prabhudas Lilladher, Dabur's strategy of "innovation and launches in core segments will help achieve double-digit sales growth". HDFC Securities reckons its net profit growth will improve to 18.5 per cent and 14 per cent, respectively, in FY24 and FY25.

Dabur claims its products currently reach 80 per cent of households across India and 95-100 per cent in states such as UP, Bihar and Madhya Pradesh, where it has a stronghold and the share of the rural population is higher. The rural market comes with its problems. Although inflation has declined, rural India is growing at its slowest pace in over a decade. Analysts also point out that the states where Dabur has a stronghold have low per capita income.

Shubhajit Sen, Founding Partner of APriori Consultants, says that Dabur has some brands that are "fundamentally strong", but its high exposure to the rural market and middle-income urban households has turned out to be a key challenge in recent times, as mass market segments are under stress. On the other hand, Sen says, Dabur has not adequately captured the "most dynamic segment of the market," comprised of rapidly growing young, urban consumers with deep pockets.

Dabur gets nearly 45 per cent of its domestic sales from rural households—much higher than the industry average of 35 per cent. For instance, one of the key factors that played in favour of Nestlé India in recent times is its lower exposure to the rural market. Unlike Dabur, Nestlé India gets a little over 20 per cent of its sales from semi-urban and rural areas.



AMNISH AGGARWAL
HEAD OF RESEARCH,
PRABHUDAS
LILLADHER

"Dabur's top-line performance over the past eight or nine years has been mixed. Two things queered the pitch. It faced challenges in its businesses abroad. And, currency volatility has translated into smaller numbers"

Dabur has set new targets. "We intend to grow the (domestic) healthcare business to ₹5,000 crore, the home & personal care business to ₹7,000 crore, and to double our foods & beverages business in the mid-term, five years," says Burman.

In FY23, Dabur's HPC business was ₹4,100 crore, and healthcare was ₹2,752 crore, with a total domestic sales of ₹8,684 crore. Food & beverages fetched ₹1,832 crore.

Malhotra expects turnover to reach ₹20,000 crore by the end of the decade, double the figure for FY23. Will the growth be steady? For Malhotra, the view from the two glass walls in his corner room is good. **BT**

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